International Guidance Note on Risk-Based Approach for Customer Onboarding

Issued by: Synthetic Financial Action Working Group (SFAWG) | Reference: SFAWG-GN-2026-03

1. Risk-Based Approach

Financial institutions should identify, assess and understand their money laundering and terrorist financing risks and apply measures commensurate with those risks. Higher-risk scenarios require enhanced measures, and lower-risk scenarios may justify simplified measures.

2. Customer Risk Factors

Factors include: unusual circumstances of the business relationship, cash-intensive businesses, ownership structures that appear unusual or excessively complex, legal persons acting as personal asset-holding vehicles, and companies with nominee shareholders or bearer shares.

3. Geographic Risk Factors

Countries identified by credible sources as lacking adequate AML/CFT systems, as subject to sanctions or embargoes, as having significant levels of corruption, or as providing funding or support for terrorist activities should be treated as higher risk.

4. Beneficial Ownership

Institutions should take reasonable measures to verify the identity of beneficial owners using relevant information from reliable sources. Where ownership is held through multiple layers, institutions should understand the full structure up to the ultimate natural person.

5. Digital Onboarding

Digital identity systems that meet appropriate assurance levels may be used for remote onboarding. Institutions should assess the risk of impersonation, document forgery and deepfakes, and apply liveness detection where video-based identification is used.

6. Ongoing Monitoring

Ongoing monitoring should be proportionate to risk. Higher-risk customers should be subject to more frequent review and more intensive scrutiny of transactions.

7. Reporting

Suspicious transactions, including attempted transactions, should be reported promptly to the national financial intelligence unit. Institutions and their staff should be protected from liability when reporting in good faith, and prohibited from tipping off.